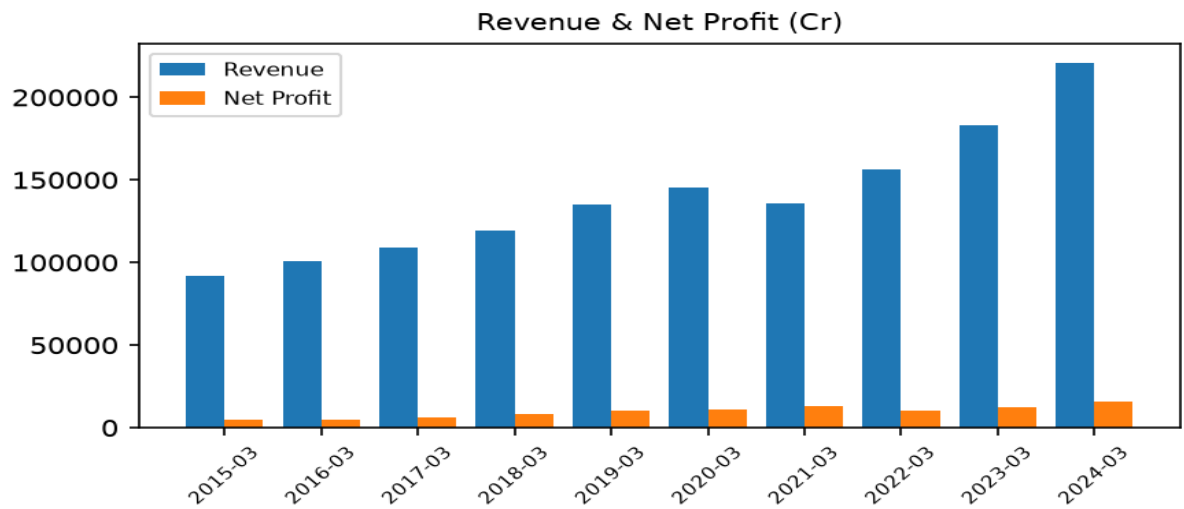


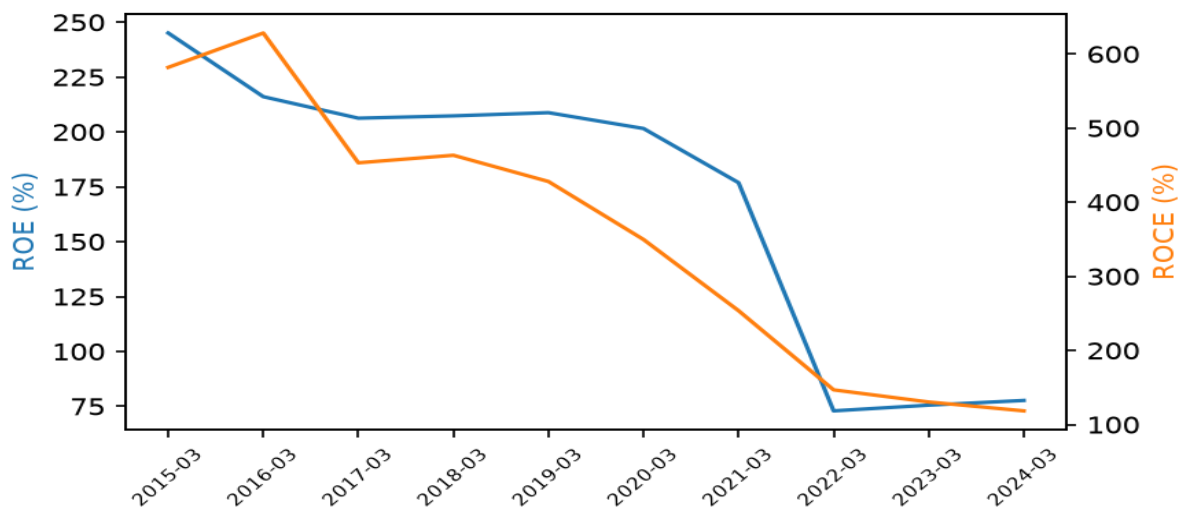
Larsen & Toubro Ltd (LT)

ROE 77.7%	ROCE 118.5%	Net Profit Margin 7.0%
D/E 0.1	Revenue CAGR 5yr 10.3%	Free Cash Flow (Cr) 20445.0

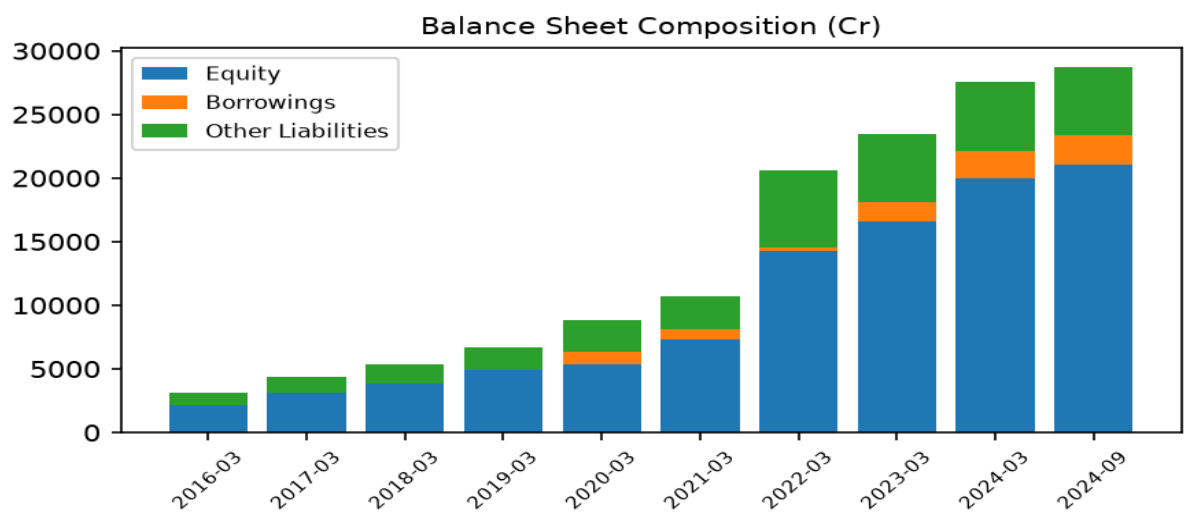
Revenue & Net Profit (10yr)



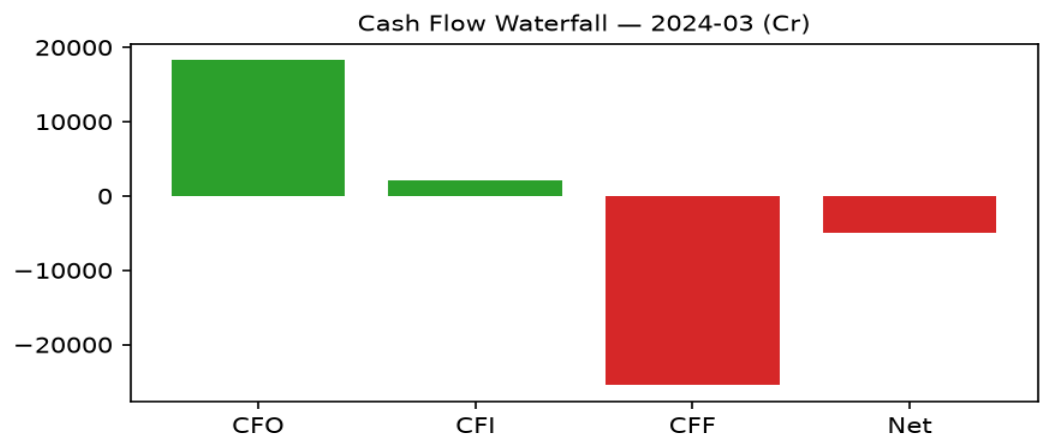
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Return on equity of 77.7% reflects the company's baseline capital efficiency.

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Liquidating Assets